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CAPITAL ALLOCATION GOVERNANCE: THE PRE-EXIT RISK PRIVATE EQUITY MISSES

Owen Vallis · 5 June 2026

BlackRock now wants a fifth of the standard portfolio in private markets.

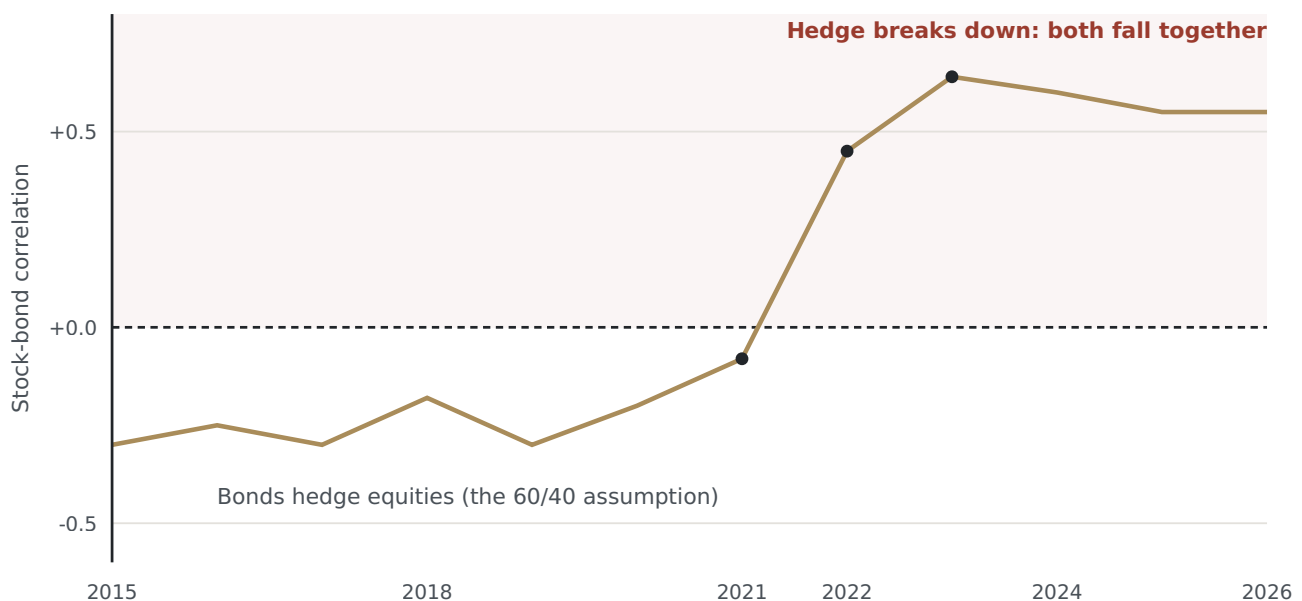
That is the headline of the 50-30-20 model Larry Fink set out this spring: half in equities, 30% in fixed income, and 20% in private assets held as a core allocation, in place of the 60/40 split that has defined institutional investing for a generation. For an asset manager, it is a product recommendation. For a private equity operating partner, or a CFO preparing a portfolio company for sale, it raises a different and more uncomfortable question. Who at board level owns your capital allocation framework, when was it last reviewed, and does it reflect the environment the business is actually operating in?

That question rarely appears on an exit readiness checklist. It should. The assumptions embedded in most corporate investment policies were calibrated for a world that no longer exists, and a sophisticated acquirer is increasingly likely to notice.

The regime has changed. Most policies have been left behind.

The investment environment facing portfolio companies has shifted on every axis an investment policy depends on. Each shift below is named, dated, and evidenced.

The stock-bond correlation has turned positive. Bonds fell alongside equities through the first quarter of 2026, producing the worst quarterly outcome for a 60/40 portfolio since June 2022. The hedge a policy assumed would cushion an equity drawdown now amplifies it.



The rolling correlation between stocks and bonds, shown here as an indicative series, held negative through the low-rate era, then turned positive in 2022 and has stayed there. A positive reading means bonds no longer cushion an equity fall.

Sources: BlackRock Investment Directions, Spring 2026 (2026 reading); long-run estimates of roughly -0.24 across the 2009 to 2022 low-rate era, rising above $+0.6$ from 2022, per Vanguard, Morningstar and J.P. Morgan analysis.

Interest rates have re-based. UK 30-year gilt yields sit at their highest level since 1998, and US 30-year Treasuries trade within ten basis points of an 18-year peak. A treasury policy written against the near-zero rates of 2015 to 2022 is now managing cash and debt in a structurally different regime.

The dollar's safe-haven property has weakened. Through high-volatility periods in 2025, the dollar moved with US equities 66% of the time, against 35 to 39% in the comparable stress windows of 2008 to 2012 and 2020 to 2024. The currency a policy treats as a refuge now behaves, more often than not, like a risk asset.

Access has changed too. The EU's ELTIF 2.0, in force since 2024, and the UK's Long-Term Asset Fund have opened private markets well beyond the institutional gate. This is an allocation decision that did not exist in accessible form when most investment policies were written.

This is the environment an acquirer's governance team is working in. The gap between it and the assumptions embedded in most investment policies is wide enough to set out in a single table.

ASSUMPTION	WHEN MOST POLICIES WERE WRITTEN	TODAY
Bond-equity correlation	Negative, so bonds hedge equity drawdowns	Positive, so both fell together in Q1 2026 (the worst 60/40 quarter since June 2022)
Interest rate baseline	Near zero (2015 to 2022 average)	30-year gilt at its highest since 1998
US dollar	Safe haven, moving against equities in stress (35 to 39% covariance)	66% positive covariance with US equities in 2025 stress windows
Private markets access	Institutional only	Now open well beyond institutions (EU ELTIF 2.0, UK Long-Term Asset Fund)
Standard portfolio model	60/40	50-30-20 (BlackRock's current recommendation)

The table sets out the gap between the assumptions in most investment policies and today's conditions.

Sources: BlackRock Investment Directions, Spring 2026; McKinsey Global Private Markets Report 2026; JP Morgan 2026 Global M&A Annual Outlook.

The three questions an acquirer will ask

Capital allocation governance falls inside the scope of both financial and governance due diligence at a sophisticated buyer. The questions are specific, and they are answerable. Most boards have simply never been asked them under deal conditions.

The first is accountability. Which director holds formal responsibility for investment and treasury risk oversight? Is it written into a board mandate, or has it been delegated to management without board-level visibility?

The second is currency. When did the board last review the investment policy statement? Does it reflect the current rate, correlation, and inflation environment, and has the board seen any management information confirming the policy remains fit for purpose?

The third is challenge. Does the board see the assumptions embedded in the framework itself, or only the cash balances and benchmark returns? A policy can report healthy returns while resting on a correlation assumption that broke two years ago.

These are the same questions our [Pre-Mortem Diagnostic](#) asks. The difference is timing and cost. An acquirer asks them once, under deal pressure, when a gap has already become a negotiating lever. A pre-mortem asks them at the point where the answer can still be fixed quietly.

Why the exit window makes this urgent

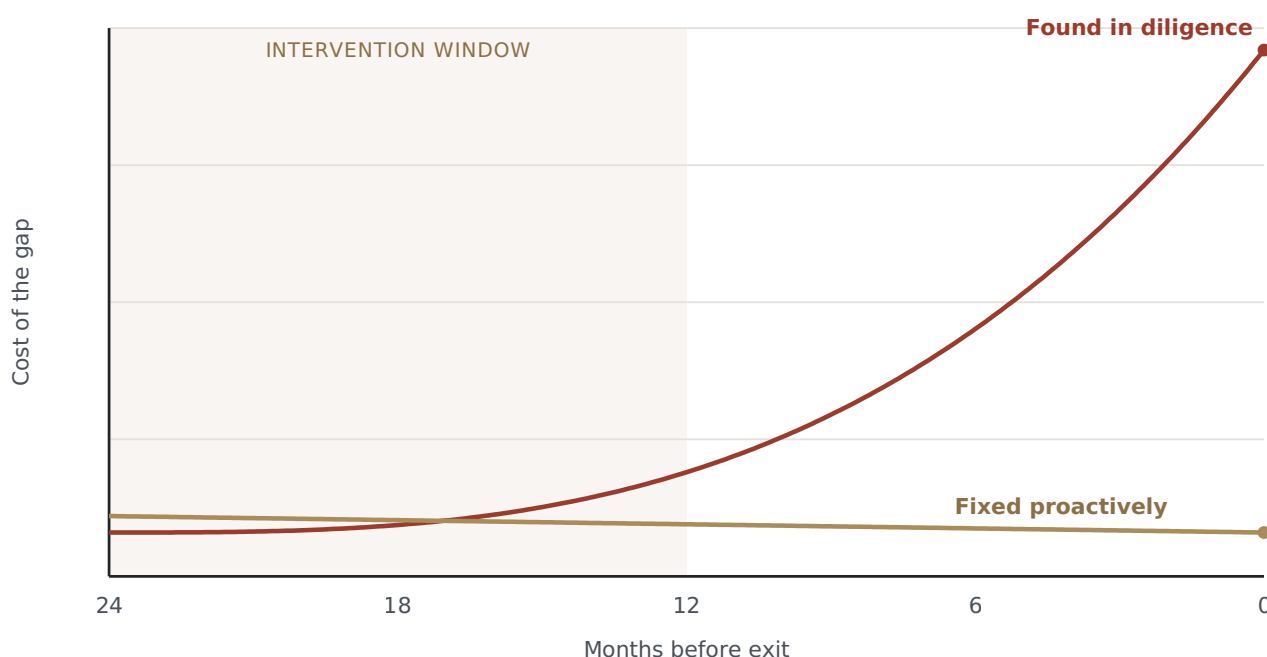
The exit environment is the most congested on record, and the buyers who now dominate it are precisely the ones most likely to examine this gap.

The McKinsey Global Private Markets Report 2026 counts roughly 16,000 companies in the global exit backlog with hold periods over four years. That is 52% of total buyout-backed inventory, the highest share recorded, and the average hold period now stands at 6.6 years. A company held that long has traded through the entire regime shift set out above. The policy written in year one is being tested by conditions that did not exist when it was approved.

The secondary market, meanwhile, has become a primary exit route. JP Morgan records \$130 billion in secondary private equity transactions in 2025, up 31% year on year. Secondary buyers are institutional, governance-literate, and run detailed governance workstreams. They have seen this gap before, and they know which companies tend to carry it.

The intervention point

Proactive governance uplift in the 12 to 18 months before an exit costs less than reactive remediation under an acquirer's scrutiny. The work is governance audit and challenge. It reviews the accountability lines, tests the investment policy statement against the current macro regime, and identifies the management information gaps a buyer's diligence team would find. The [Pre-Mortem Diagnostic](#) applied to capital allocation asks one question. What would have to go wrong for the current framework to fail, and what are we assuming that may no longer be true? BlackRock has already supplied part of the answer. Several of those assumptions have broken down.



The curve is illustrative. A capital allocation gap is cheap to settle while there is still runway before a sale, and expensive once an acquirer finds it in diligence and turns it into a price chip at the close.

This is the core of our [Pre-Exit SGaaS engagement](#), and the case for it is defensive. A buyer's valuation turns on how long the business can hold its returns above the cost of capital before they fade, and a diligence team looks for evidence that lets it assume a faster fade and pay less. A team that finds zero-rate-era hurdle rates still in use, an unhedged floating-rate facility, an unmapped data-protection exposure, or no record of board-level challenge to the equity story has its quantified pretext to chip the price during exclusivity, when the seller has least leverage. Pre-Exit SGaaS finds and closes those gaps in the 12 to 18 months before the process starts, benchmarks the governance position against what a buyer expects, and produces an independent exit-readiness opinion the seller can put in front of prospective buyers. Governance does not manufacture the multiple. It protects the headline price the business has already earned.

What to do next

Ask your CFO one question this week. Has the board's investment policy been reviewed in the last twelve months, and does it reflect the rate and correlation environment that has held since 2022?

The timing gives the question weight. Global M&A reached \$5.1 trillion in 2025, up 49% on the year and the highest since 2021, with sponsors under mounting pressure to return capital after holding periods stretched to six and seven years (J.P. Morgan, 2026). The exit window is open, and the buyers moving through it read the governance section of vendor due diligence closely.

Governance quality is the cheapest form of price protection a seller can buy. On a £200 million business, a single 3% chip at exclusivity is £6 million of lost value, and an unreviewed investment policy is exactly the kind of gap that earns one. Closing it ahead of the process

is a few months of focused work set against a valuation measured in millions, and it pays for itself the moment one chip is avoided. That is what [Pre-Exit SGaaS](#) is built to do, in the 12 to 18 months before a sale. Check out the full evidence in our [white paper](#), and [book an introductory call](#).

FROM THE SGaaS WHITE PAPER

Governance as a defence of the exit price

The white paper develops the full evidence base behind continuous, adversarial governance and the four-tier SGaaS delivery architecture, including the Pre-Exit tier built for the 12 to 18 months before a liquidity event.

[Download the paper →](#)

[Schedule a call →](#)

Owen Vallis is the founder of Marentis Labs, the firm that originated Strategic Governance as a Service. He spent ten years as UK Head of Fiduciary Risk Management at Credit Suisse and served as Group Chief Risk Officer at SICO Bank. Capital allocation governance is a core component of [Pre-Exit SGaaS](#) engagements. [Schedule a confidential discussion](#).